The S.E.C. Method of Security Analysis

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In our last essay dealing with the Hippocratic method, we strayed pretty far from Wall Street. Now we return to our own back yard—if thus we may designate the fertile fields of Philadelphia. The most careful and complete work in security analysis during recent years has undoubtedly been done by the S.E.C. This has included—at least in part—the three stages of a thorough-going analysis, viz.: (a) the formulation of standards of value; (b) the gathering of relevant data in the individual case; and (c) the application of the standards to the data, to arrive at a definite valuation.

The S.E.C. has done all this work not with the idea of breaking new paths to security analysis, nor of prescribing higher standards for analysts to follow—but because it could not help itself. The law gave it specific duties, and these it could perform only by indulging in full-scale security analysis. Such duties include: first, primary jurisdiction over recapitalization plans and security deals of public utility holding company systems; second, supplying advisory reports, when requested, on the fairness and feasibility of Chapter 10 reorganization plans; third (and less important), jurisdiction over security deals between Investment Companies and so-called affiliated persons.

In order to determine whether a given plan or deal is fair, the Commission has found it necessary to arrive at a more or less exact valuation of the securities affected. This in turn has required the adoption of methods and standards of security analysis. It is important to realize that these valuation responsibilities apply only in a limited area of the S.E.C.'s activities; it has no such duties with respect to new security offerings in general, nor with respect to the level of prices established on the exchanges. Yet enough of these special assignments have fallen to the Commission's lot to create by now quite a respectable volume of security analyses and valuations for which it must take praise or blame.

This is no place to write a critical history of the security valuations arrived at by the S.E.C. No doubt that job is already under way for some Ph.D. thesis. Let us limit ourselves to a reference to a recent and interesting case—namely, the recapitalization of American States Utilities Corp. Here the company submitted a plan under which the preferred would get 77% and the common 23% of the new all common capitalization. This was contested by a preferred stockholders' group who asked for a larger share of the total. It is not clear from the opinion whether any common holders claimed more for their side. Nevertheless, the Commission actually decided that the common was not being given enough; it cut down the preferred to 65% and increased the common to 35% of the total. And on this basis the exchange was finally made.

How did it happen that the Commission here departs from its traditional role of champion of preferred stockholders' claims and raises up the common man from the dust?1 Answer: Security Analysis. After studying the relevant facts, the S.E.C. reached the conclusion that the fair value of the new common stock issues would exceed the full claim of the old preferred by more than 50%; hence the preferred was entitled to only 65% of the total. In its opinion, the Commission set forth its method of analysis quite clearly. First, it examined past earnings for the period 1934–44; then it considered estimates of future earnings made by four witnesses—these ranging between $282,000 and $350,000. Then it discussed certain factors bearing on future earnings, such as power supply, income taxes, invested capital—and concluded that such earnings should be set at $335,000, for purposes of recapitalization. It then suggests various rates at which these prospective earnings might be capitalized; asserts negatively that the rate implied in giving 77% to the preferred (say 8¼%) would be too high; and decides affirmatively on a capitalization rate of about 6.90%—i.e., a multiplier of about 14½.[2]

Here then we find the S.E.C., impelled not by choice but by its statutory duties, using certain procedures of security analysis to determine the fair value of stocks of a going concern. Most of the enterprises are public utilities, but similar valuations have been made for industrials—notably in the McKesson & Robbins reorganization. Is this the direction in which security analysts as a whole are tending? Will they—or should they—sit down before every security presented to them, and proceed likewise to determine a fair value for it, which may be compared or contrasted with the current market price? If the Commission's procedure is sound in the area of reorganization plans, etc.—to which they are limited by law—why should it not be appropriate for Wall Street analysts to employ it for every security?

This prospect is not likely to appeal to the typical analyst of long experience. To write his name under a specific value for a stock, which value may differ widely from the current price, would seem to him to be a repellently hazardous undertaking. The more definite he is about the factors which result in his valuation, the more likely he is to be proven wrong by subsequent events. Analysts don't mind so much being wrong in general but they hate being wrong in particular.

Furthermore, this synthetic figure—sometimes called "intrinsic value" or "justified selling price"—is a rather unsubstantial affair. It is neither today's market price nor tomorrow's true value—for by tomorrow the basis of true value will have changed. Rather than meddle with such a troublesome concept, it is easier and more comfortable merely to present the relevant facts, and then to conclude that "the stock appears attractive as a speculation at current levels," or that "it has a good measure of appeal as a sound investment equity."[3]

There is only one objection to this procedure: It is not good enough. It is not real analysis, but pseudo analysis. There is no such thing as a sound investment regardless of the price paid, and if there are attractive speculations independent of the price quotation, the recommendations would have to come from stock market analysts and not from security analysts.

Let us be concrete. A brokerage house circular recommends American Radiator at 22 because of the promising outlook for the building industry. The "analysis" gives the capitalization and ten-year data on earnings and working capital. Why are these figures given? If the stock is a good speculation because of its prospects, and if this is so *regardless of price*, then the statistical details are mere surplusage. But if the figures are intended to inform and guide the purchaser, is it not the duty of the security analyst to evaluate them? Does he not have to reach the conclusion in his own mind that, with reasonable allowance for the good prospects, the business of American Radiator is fairly priced at $225 million or more (its current market quotation) before he can sponsor it as an attractive speculation? In the end, this would mean that the analyst must arrive at some range of fair value for every stock he recommends, and must be satisfied that the price does not exceed the top of the range.

I venture to predict that the same logical events which have made security appraisers out of a reluctant S.E.C. will make security appraisers out of the equally reluctant Wall Street analysts. There are signs of such developments in the public utility field, where our senior analysts are assigning specific values to stocks of operating companies which are to come on the market in the future.

These calculated values often take the form of minimum and maximum figures—a prudent and common-sense device, since no appraisal can be better than an approximation. The Commission, wherever possible, also prefers to think in terms of a range of value; where it is compelled to adopt a single figure, it probably prefers the midpoint of its range.

The S.E.C. method of security analysis is not beyond criticism, and doubtless it is still in the development stage. The final product—if there is one—may differ strikingly from present appearances. But we should be grateful to the Philadelphians for wrestling manfully with problems that face not only them but ourselves as well.

Notes

1. Similarly, in the recent case of American Gas & Power, the S.E.C. gave more stock to the common than the company had proposed.

2. The Commission skirts around the minor question whether the claim of the preferred should be taken at par or call price—hence, its exact valuation cannot be stated in certainty.

3. We do not imply that this is representative of all Wall Street analysis. A good deal of truly thoughtful work is now being done which gives full recognition to the factor of market price. But most of these studies are of semi-private character—e.g., by investment-trust analysts—hence they rarely appear amid the large mass of brokerage house circulars.